



Alibaba

Alibaba Group

June Quarter 2025 Results

Conference Call

Transcript

Friday, 29 August 2025

Introduction

Lydia Liu

Head of Investor Relations, Alibaba Group

(Original)

Good day everyone. Welcome to Alibaba Group's June Quarter 2025 earnings conference call. With us today are Joe Tsai, Chairman; Eddie Wu, Chief Executive Officer; Toby Xu, Chief Financial Officer; Jiang Fan, Chief Executive Officer of Alibaba E-Commerce Business Group. This call is also being webcast from the IR section of our corporate website. A replay of the call will be available on our website later today.

Now I will quickly cover the Safe Harbor. Today's discussions may contain forward-looking statements, particularly statements about our business and financial results, that are subject to risks and uncertainties, which could cause actual results to differ materially from those contained in the forward-looking statements. Please refer to the safe harbor statements that appear in our press release and investor presentation provided today.

Please note that certain financial measures that we use on this call are expressed on a non-GAAP basis. Our GAAP results and reconciliations of GAAP to non-GAAP measures can be found in our earnings press release.

Now I will now turn the call over to Eddie.

Group Business Update

Eddie Wu

CEO, Alibaba Group

(Translation)

Hello everybody, and welcome to this quarter's earnings call.

This quarter, we delivered solid growth. Excluding revenue from Sun Art and Intime, our total revenue on a like-for-like basis grew 10% year-over-year. Revenue growth of our core businesses remained strong. Customer management revenue from our China e-commerce business rose 10% year-over-year. Cloud Intelligence Group revenue growth accelerated to 26% year-over-year. Revenue from AIDC grew by 19% year-over-year.

In AI + Cloud, the accelerated development of AI applications and increasing AI product adoption by customers drove a 26% year-over-year revenue increase from external customers. With triple-digit growth in AI-related product revenue for the eighth consecutive quarter, AI-related revenue this quarter accounted for over 20% of revenue from external customers. As AI demand continued to grow rapidly, we are also seeing AI applications driving great growth momentum of traditional products, including compute and storage.

SAP and Alibaba entered a strategic partnership focused on Cloud and AI. As SAP's global cloud computing partner, Alibaba Cloud will enable SAP customers to run and manage their core software systems on Alibaba's platform. Leveraging our Qwen models, SAP will also provide AI transformation services for its enterprise customers. This partnership signifies the recognition of our cloud infrastructure and AI capabilities by the global leading enterprises in the SAP ecosystem.

We continued to advance the capabilities of our AI foundation models. Since July, Alibaba has released upgraded Qwen3, including non-thinking, reasoning model, and AI coding models, which are recognized as global top performers in their respective categories. Notably, our Qwen3-Coder model has rapidly increased Qwen's user adoption in overseas markets. We also open-sourced several models, such as the video generation model Wan2.2 and the text-to-image model Qwen-Image. By continuously upgrading our open-source models, we are empowering our customers to develop their own AI applications.

Meanwhile, Alibaba's own AI-native applications continue to advance. Amap has undertaken a comprehensive AI transformation with the launch of Amap 2025, the world's first AI-native location-based application. This upgrade brings spatial intelligence into dynamic real-world scenarios. Amap is well-positioned to become a new gateway for future lifestyle services. DingTalk has also completed its latest AI upgrade, creating the world's first agent-driven work

feeds to explore next-generation workplace application paradigms. On our Taobao platform, we see immense AI-powered opportunities emerging, such as AI search and AI advertising platform.

In consumption, we undertook a strategic combination of Taobao and Tmall Group, Ele.me, and Fliggy into Alibaba China E-commerce Group. This organizational change creates a comprehensive consumption platform and upgrades our consumer experience. We have consolidated supply chains, user bases, and membership benefits across our businesses and launched a tiered loyalty program that connects Ele.me, Fliggy, and Amap. The newly integrated benefits enhance our members' experience across a full spectrum of consumption scenarios.

Since May, our investments in quick commerce have rapidly surpassed key milestones and created synergies. In August, the monthly active consumers for our quick commerce business are approaching 300 million, contributing to a 25% increase in monthly active consumers¹ on the Taobao app. Daily order volume of our China E-commerce Group continued to achieve new records.

Looking ahead, Alibaba Group has two historic opportunities: to build a technology platform centered on AI + Cloud, and to create a comprehensive shopping and daily life services consumption platform. We will invest at scale to capture this future. This also marks a new entrepreneurial chapter for the company after 26 years. In line with this, in February, we announced an investment of RMB380 billion over the next three years to build our cloud and AI infrastructure. In July, we announced plans to invest RMB50 billion in consumption.

The transformative impact of AI on all industries, combined with the deep integration of AI and cloud, represents the most significant opportunity in the technology sector over the next decade. For Alibaba, we have the world's fourth-largest and Asia's leading cloud infrastructure, along with full-stack technology capabilities spanning AI computing power, AI cloud platforms, AI models, and an open-source ecosystem, and AI applications. This quarter, our CapEx investment, focused on AI and cloud infrastructure, reached RMB38.6 billion. Over the past four quarters, we have cumulatively invested over RMB100 billion in AI infrastructure and AI product R&D. Our investments in AI have begun to yield tangible results. This is evidenced by Alibaba Cloud's return to rapid growth driven by AI demand and our AI-enhanced experiences across consumer and enterprise-facing scenarios. We are seeing an increasingly clear path for AI to drive Alibaba's robust growth.

We are also well-positioned in China, the world's largest e-commerce market and the most promising service consumption market. China has a well-developed e-commerce infrastructure, high population density, and strong demand for service consumption, providing a solid foundation for the integration of our quick commerce business and the Taobao app. We believe this convergence will fulfill consumer needs for a one-stop consumption experience and meet merchants' desire to serve consumers across multiple scenarios. It will enhance commerce efficiency and pave the way for an all-in-one AI assistant for consumption. Alibaba's strategic positioning in quick commerce has ambitions beyond competing in a single category. We aim

¹ This is in line with quarterly results announcement and refers to the first three weeks of August.

to meet the one-stop consumption needs of our one billion consumers and shape business models of a comprehensive consumption platform in the AI era.

In consumption, our long-term goal is to create a comprehensive consumption platform catering to our one billion consumers' full spectrum of shopping and daily life needs. We aim to offer the best experience to the largest consumer base with the highest purchase frequency, ultimately leading in a RMB30 trillion addressable market.

Over the next three years, Alibaba will embark on a new journey with an entrepreneurial mindset to drive robust business growth through sustained investments centered on the strategic areas of consumption and AI + Cloud. We are confident that these investments in the core businesses will sharpen our competitive edge and fuel long-term growth.

Thank you.

Financial Highlights

Toby Xu

CFO, Alibaba Group

(Original)

Thank you, Eddie.

As Eddie said, we are embarking on a new chapter of entrepreneurship by investing in two strategic pillars of consumption and AI + cloud. These represent the two biggest long-term opportunities we are systematically pursuing.

To reflect this sharpened focus, we have also adjusted our financial reporting disclosure accordingly. Starting from this quarter, we undertook a strategic combination of Taobao and Tmall Group, Ele.me and Fliggy into Alibaba China E-commerce Group, transforming our value proposition into a comprehensive consumption platform. This is not simply an organizational change. It is a major strategic investment aimed at redefining the consumer experience and unlocking long-term value across our ecosystem.

This quarter marked meaningful progress on this front, as we deepened investment in quick commerce — an increasingly essential use case for capturing new demand and shaping future consumer experience.

Our quick commerce business achieved key milestones, while contributing to the 25% year-over-year growth in the Taobao app monthly active consumers in the first three weeks of August.

In tandem, we are building the AI + Cloud infrastructure to support the next wave of technological transformation, positioning Alibaba as a key enabler of enterprise AI adoption across industries.

Our Cloud business delivered accelerated growth, as segment revenue and revenue from external customers both grew 26%, driven by surging AI demand and increased customer adoption of public cloud services to support AI workloads.

At the same time, we remain focused on improving operating efficiency and profitability. In the quarter, AIDC delivered solid progress, approaching breakeven while sustaining strong growth momentum.

Now let's look at the financial results. On a consolidated basis:

Total revenue was RMB247.7 billion. Excluding revenue from Sun Art and Intime, revenue on a like-for-like basis would have grown by 10% year-over-year.

Total adjusted EBITA decreased 14%, primarily due to our strategic focus on scaling quick commerce to capture new consumption patterns and drive future monetization opportunities, partly offset by margin improvements across several businesses, including AIDC and other units that made continued progress in operating efficiency.

Our GAAP net income increased 76%, primarily due to the mark-to-market changes from our equity investments, and the gain arising from the disposal of local consumer service business of Trendyol.

Operating cash flow was RMB20.7 billion. Free cash flow was an outflow of RMB18.8 billion. This was mainly attributed to our accelerated pace on expanding AI + cloud infrastructure as CapEx ramped up to approximately RMB39 billion, and the investment in Taobao Instant Commerce.

Backed by nearly US\$50 billion in net cash, a healthy and low-leveraged balance sheet, and our strong access to capital markets, we have ample flexibility to support long-term strategic investments while maintaining financial resilience.

This quarter, we bought back approximately 7 million ADSs for a total of US\$815 million under our share repurchase program. We remain committed to shareholders return through a mix of share buybacks, dividends and investment for growth, and we will continue to adjust the pace and form of returns based on market conditions and strategic priorities.

Now let's look at the segment results starting with Alibaba China E-commerce Group.

Revenue for Alibaba China E-commerce Group was RMB140.1 billion, an increase of 10%. Customer management revenue of our e-commerce business increased by 10%, primarily driven by the improvement of take rate.

We had a successful 6.18 Shopping Festival, which delivered strong consumer growth on the Taobao app, as we implemented user-friendly promotion mechanisms and increased support for merchants that provide high-quality products and customer services.

The number of 88 VIP members, our highest spending consumer group, continued to increase by double digits year-over-year, surpassing 53 million.

Revenue from our quick commerce business increased 12%, mainly due to order growth as a result of the rollout of Taobao Instant Commerce at the end of April. Since its launch, we have seen encouraging business progress, reflecting strong user adoption and growing order momentum. In the meantime, we have expanded our product offerings and front warehouse coverage for non-food categories, as part of our efforts to improve user experience and enhance operating efficiency.

We executed our plan to generate synergies between quick commerce and the rest of Alibaba's ecosystem, by leveraging supply chains, users and membership benefits across our businesses. In August, Taobao app launched a tiered loyalty program that connects Alibaba Group's China e-commerce, quick commerce, and travel platforms.

The adjusted EBITA from Alibaba China E-commerce Group decreased by 21%. Excluding the investments in our quick commerce business, our Alibaba China E-commerce Group EBITA has grown year-over-year.

Revenue from AIDC grew 19%, primarily driven by strong performance in cross-border businesses. AIDC's adjusted EBITA loss narrowed significantly, approaching breakeven.

As we continue to improve our operating efficiency, the UE of *Choice* and Trendyol's international business improved significantly on a sequential basis. Looking ahead, we are committed to enhancing operating and investment efficiency. As a result, our profitability will continue to improve.

Cloud segment revenue grew by 26%, primarily driven by public cloud revenue growth.

AI revenue continued its triple-digit growth. As AI demand continues to grow rapidly, we are also seeing increasing demand of compute and storage in other public cloud services to support AI adoption.

The adjusted EBITA margin remained relatively stable year-over-year at 8.8%.

We will continue to invest in customer growth and technological innovation, including AI products and services, to increase cloud adoption for AI and maintain our market leadership.

As previously mentioned, we have updated our segment reporting to better reflect our focus. We simplified the financial reporting structure by reclassifying Cainiao, Amap and Hujing DME into "All others".

All others segment revenue decreased by 28%, primarily due to the disposal of Sun Art and Intime.

All others adjusted EBITA was a loss of RMB1.4 billion, primarily due to the increased investment in technology businesses, partly offset by the improved results of businesses including Freshippo.

The All others segment comprises a set of innovative initiatives, including several strategic AI-driven technology infrastructure and businesses. While we continue to drive efficiency improvements across business lines, we are also investing in AI opportunities to maintain our competitive edge and to drive future growth.

In closing, this quarter marked meaningful progress in our strategic investment on two pillars that will power Alibaba's next phase of growth: our comprehensive consumption platform and AI + Cloud infrastructure.

In commerce, the integration of multiple businesses under Alibaba China E-commerce Group is driving stronger synergy across supply chains, user networks, and membership programs, enabling us to better serve evolving consumer needs and capture long-term growth potential.

In cloud, revenue growth accelerated on the back of robust AI-driven demand. As we expand infrastructure capacity, we are helping more customers deploy and scale their AI workloads.

We are investing with clarity and conviction on the two historic opportunities ahead—AI and domestic consumption. Our commitment of RMB380 billion technology investment reflects our long-term ambition to build the infrastructure essential for AI proliferation, while our focused expansion in quick commerce is designed to unlock new demand and long-term consumption potential in China.

With strong balance sheet, operating cash flow and business momentum, we are well-positioned to support these investments, drive sustainable growth, and strengthen the core capabilities that will define Alibaba's future.

Thank you, that's the end of our prepared remarks. We can open up for Q&A.

Q&A

Lydia Liu:

(Original)

Hi, everyone. For today's call, you are welcome to ask questions in Chinese or English. A third-party translator will provide consecutive interpretation for the Q&A session. Please note that the translation is for convenience purpose only. In the case of any discrepancy, our management statement in the original language will prevail. If you are unable to hear the Chinese translation, bilingual transcripts of this call will be available on our website within one week after the end of the meeting.

Alicia Yap (Citigroup):

(Original)

Good evening, management. Thanks for taking my questions. Congrats on your solid cloud revenue growth.

I have a question related to your recent step-up investment in the quick commerce and also the food delivery business. Can management share with us what is your vision for the quick commerce growth opportunity in China?

And what is your investment plan for the quick commerce? How long will the heavy investment last, and how will the investment bring the long-term value for overall Taobao and your China e-commerce platform?

Can management share a bit of the latest progress of quick commerce business? What are the synergies you have realized so far? And how should we expect the investment to impact our GMV and also the CMR growth in the coming quarters?

Jiang Fan:

(Translation)

Thanks for your question. Let me begin by reviewing the interim progress we have made so far in our quick commerce business, and then share our outlook for quick commerce going forward.

Since we launched Taobao Instant Commerce four months ago, we have achieved success in engaging users and merchants, building logistics capabilities, and marketing. From July

onwards, in particular, the growth in order volume, user scale, merchant supply, and delivery capacity has far exceeded expectations. In fact, in the food delivery to home category, we are now the market leader in terms of order share.

Let me share a few figures.

First, our peak daily order volume reached 120 million, and weekly average daily orders in August reached 80 million.

Second, on the user side, quick commerce's monthly active consumers reached 300 million, representing 200% growth compared to before April.

Third, on merchant supply, the rapid growth in business scale has attracted a large number of new users and merchants to join Taobao Instant Commerce. High-quality merchant supply in particular has reached industry-leading levels.

Fourth, on fulfillment capacity, the number of daily active riders reached two million, a three-time increase from April. That also means we have created over a million new jobs.

As I stated last quarter, the first-stage goals for our quick commerce business were to scale up our user base and build consumer mindshare. With the progress of the past few months, we have already achieved these first-stage goals beyond our own expectations.

Next, let me discuss how quick commerce is driving synergies for our e-commerce business.

First, in terms of users, Taobao Instant Commerce has significantly boosted overall user scale and engagement, driving 20% growth in Taobao app's DAUs in August. The high-frequency use case of Taobao Instant Commerce has also boosted the number of active days among Taobao app's overall active users.

With the increase in user engagement, we are seeing a clear trend of Taobao Instant Commerce driving incremental income for our e-commerce business. In specific terms:

1. The incremental traffic is driving advertising and CMR growth.
2. As a result of heightened user engagement, new user acquisition, and lapsed user reactivation, we can reduce sales and marketing expenses.

We expect this trend to continue and to expand with continued operations, and are confident that it will drive even more significant incremental income on the e-commerce side in the medium-to-long term.

Next, let me share our perspective on quick commerce's operating efficiency and UE (unit economics), which I know are of particular interest to you.

First, when talking about operating efficiency, you cannot disregard scale. Previously, our order scale was just one-third of our peer's, with market share below 20% in many cities and provinces. With such a huge gap in market share, it was meaningless to talk about efficiency.

Now that our quick commerce business is leading in scale, we can quickly improve our operating efficiency.

Our peer achieved excellent performance in the food delivery industry, especially on efficiency, and we are now actively working to narrow that gap. Our scope to improve efficiency is substantial. Let us look at it in the short term and then in the longer term. In the short term, UE loss reduction will be primarily driven by:

1. User mix optimization. Over the past four months, we invested heavily in marketing and acquired a large number of new users. New user acquisition requires substantial upfront investment, but we have excellent retention of new users, and as the proportion of repeat customers rises, UE will improve.
2. Order mix optimization. In the next stage, we aim to increase the proportion of high-value orders, including high-value meal orders as well as non-food orders. UE will improve as a result of higher AOV.
3. Fulfillment efficiency and cost optimization. In the initial phase, as our order volume ramped up by four times, the number one priority for us as a platform was ensuring the user experience. In July and August, therefore, we made a large additional investment to address the severe short-term lack of delivery capacity. Going forward, as order scale stabilizes, our logistics costs will decline significantly, driving further improvement in UE.

So in the short term, through improvements in logistics and subsidy efficiency as well as user mix and order mix optimization, we expect that UE losses can be reduced by half while continuing to maintain our current level of investment in consumer benefits.

In the longer term, as order density increases significantly, we see considerable scope to reduce logistics costs compared to pre-April levels. In addition, there is also substantial room to enhance our targeted engagement of offline merchants.

In my view, scale is the primary factor in achieving efficiency. With our newly achieved scale and market share, we are confident that we can achieve industry-leading efficiency in the longer term.

At the same time, we will not look at the standalone profitability of quick commerce delivery. Taking into account the overall benefits to our e-commerce business, we believe quick commerce will bring sustained positive economic value to the platform over the long term while maintaining price competitiveness.

Next, let me talk about the development of the non-food category.

In quick commerce, we divide the non-food category into two segments: the hyperlocal native model, and the hybrid model of hyperlocal plus conventional e-commerce.

In the hyperlocal native model, we have leveraged our strong product supplies and supply chains to develop a lightning warehouse (“闪电仓”) model. Over the past few months, the supply capacity of these warehouses has rapidly expanded. We now have over 50,000 lightning

warehouses, with order growth exceeding 360% year-on-year. Within these lightning warehouses, 25% of the supply comes from supply chains within the Alibaba ecosystem.

Secondly, Freshippo's front-warehouse fulfillment capacity for fresh produce has expanded significantly. Following Freshippo's integration into Taobao Instant Commerce, its online orders have surpassed 2 million, growing 70% year-on-year.

In the hybrid model, Tmall Supermarket is fully upgrading from a conventional B2C model to a hyperlocal quick commerce model. While maintaining its original price competitiveness, it will achieve a much faster fulfillment experience.

At the same time, we are also actively onboarding offline stores of brands on Tmall into Taobao Instant Commerce, enabling integrated online-offline operations for those brands on Tmall. We expect as many as one million branded offline stores to join Taobao Instant Commerce. The integration of Tmall and Taobao Instant Commerce will drive new business growth for brands and offer consumers an entirely new shopping experience.

Overall, we expect Taobao Instant Commerce and quick commerce to add RMB1 trillion incremental GMV to the platform within the next three years. We also believe the food delivery market's shift from a single dominant player to multi-platform competition gives merchants and consumers more choice, which ultimately benefits the industry.

Throughout this transition, we as a platform have committed real financial resources and have already created over one million jobs with our investments, while driving industry transformation, stimulating consumption, and boosting the broader economy.

Thomas Chong (Jefferies):

(Original)

Good evening. Thanks, management, for taking my question, and congratulations on the very solid Cloud results.

My question is about Alibaba Cloud. We have seen cloud business is doing very well and accelerated to 26% year-on-year this quarter. My first question is, how should we think about this acceleration? Should we expect acceleration continues for coming quarters as well as our expectation for FY 2026? Because when I look into our acceleration and look into overseas peers, how should we think about the pace of monetization versus the US?

And on the other hand, we also see our cloud margin reached 8.8%. How should we think about the margin outlook into the future?

And on that one, given our acceleration is very impressive, can we talk about how different industry sectors actually performed in this quarter? I remember last quarter, we talked about multiple sectors, including the traditional sectors also embracing the cloud opportunities. Are we seeing something different, or making a lot more progress for this quarter?

And lastly on that CapEx, how should we think about our CapEx outlook given we have seen our CapEx is still rising during this quarter?

Eddie Wu:

(Translation)

Thank you for the question. There were quite a number of points in there, so let me start with the first one, regarding our growth outlook.

From what we are seeing today in terms of how Alibaba Cloud's customers are using AI products, or developing AI products within their own organizations, there are some very clear trends. Given these trends, we believe demand will remain very strong. This is mainly based on two things we're seeing.

First, many enterprises are leveraging the growing capabilities of AI models to develop a wide range of new applications and create many new use cases.

Second, we are also seeing many traditional application functions being rapidly replaced by the capabilities of large models, instead of relying on traditional CPU-based computing. Against this backdrop, we see customer demand continuing to be robust.

In addition, as we have often mentioned, demand is rising on both the training and reasoning sides. In recent quarters, alongside the rapid growth in reasoning demand, we are also observing new developments in training.

Beyond foundational model companies that continue to iterate and upgrade their models through training, we are seeing new opportunities emerging. For example, automakers, education companies, and multimedia application providers are now using their proprietary data to train specialized models. These needs are driving greater utilization of our AI infrastructure.

We also see another important opportunity in training: many enterprises have strong demand for post-training on top of Tongyi's open-source models. Education companies, healthcare firms, and developer-tool platforms, for example, are building specialized models by using their own proprietary data and scenarios to do post-training based on Tongyi models. This will naturally lead them to use Alibaba Cloud's computing platform. Building on this foundation, we will progressively develop commercial post-training services for our open-source models. This represents a new monetization opportunity within our open-source model strategy.

Combining that with the rapid growth in reasoning demand, we expect Alibaba Cloud's overall growth to remain on a sustained upward trajectory in the coming quarters.

Regarding your questions about our monetization pace compared to overseas markets and our gross margin outlook, I actually see these as one and the same issue. And the answer really starts from our judgment of where the market is heading.

In our view, AI is fundamentally reshaping China's cloud computing market, and this will result in significantly higher market concentration compared with the traditional cloud computing market. This is because developers building AI applications require a far broader technology stack, which naturally leads them to favor providers with comprehensive product portfolios, especially those with leading capabilities across each major product area.

Alibaba Cloud has established strengths in traditional offerings such as compute, storage, database, and big data. At the same time, we hold leadership across the AI technology stack, AI compute capacity, AI infrastructure, and AI model capabilities. And we have a more developer-friendly open-source ecosystem.

Thus, we aim to capture above-market growth in China in the present phase, and to further expand Alibaba Cloud's market share by leveraging the opportunities of the AI era.

Consequently, our current strategic priority remains acquiring more users and expanding application scenarios, rather than focusing in the near term on gross margin improvement.

Turning now to the question about our AI-related CapEx: We remain firmly committed to our original three-year plan to invest RMB 380 billion. That said, quarterly fluctuations may occur depending on supply-chain conditions.

At the same time, in light of evolving global AI chip supply and policy developments, we have also put in place backup solutions with various partners for supply-chain reserves through different approaches.

We are therefore confident that, despite potential changes in the industry environment, we will be able to carry out our RMB 380 billion capital investment program as planned and in line with our expectations.

Kenneth Fong (UBS):

(Original)

Good evening, management, and thanks for taking my question.

Given the cross-selling that we have seen already achieved in our food delivery part, do we plan to ramp up the in-store part of local service, i.e., “到店业务”? Because we noticed that Ele.me Koubei in-store coupons have been stepping up promotions in certain regions. So how should we think about any further investment expand in this in-store part of business in the coming months on top of the food delivery?

Jiang Fan:

(Translation)

Let me take this question.

First, if you look at the scale of our quick commerce, the channel is already serving a huge user base, with approximately 150 million daily active users. We've also observed that these users do have demand for in-store pickup and group-buying services.

So from a user needs perspective—and particularly to enhance synergy with our to-home delivery business—we will also consider ways to provide more diversified services for our users. To that end, we're running various tests and pilots in select cities.

Joyce Ju (Bank of America):

(Translation)

Thank you, management, for taking my questions.

My first question is on the two major historic opportunities you highlighted—AI and domestic consumption—and your commitment to sustained investment in both over the next three years.

We understand there is a three-year plan to invest RMB 380 billion in AI. But how should we think about the investment cadence for domestic consumption? Which areas will these investments cover? Beyond quick commerce and food delivery, will they include investments in supply chains and in consumers? What will the investment pace look like?

My second question concerns core CMR growth. This quarter saw sustained strong growth of 10% year-over-year, but starting from September, the higher base from last year's service fee implementation will make it challenging to show the same pace of growth.

So how should we think about Quanzhantui penetration driving sustained CMR or take rate growth in the coming quarters?

Additionally, will the incremental traffic and purchase frequency gains from food delivery and quick commerce help accelerate GMV growth, providing additional momentum to CMR growth?

Toby Xu:

(Translation)

Thank you for the question. Let me take this one.

First, regarding our investments in the historic opportunity of consumption: we are not just starting to invest now. We have consistently invested over time, both on the supply-chain side and on the user side, across different businesses. For example, on the user side, we have long invested through Taobao and Tmall. On the supply-chain side, we have invested not only through Taobao and Tmall, but also Freshippo and other businesses.

The RMB 50 billion investment we recently announced reflects our recognition of a major historic opportunity brought about by the integration of the conventional e-commerce model with hyperlocal and quick commerce. We will pace this investment based on market conditions and determine its ultimate magnitude based on overall market developments.

Collectively, these investments—past and present—have allowed us to build strong capabilities in the consumption market. Now, we well positioned to consolidate our resources and fully capture this historic opportunity. So these are our overall considerations for investments in consumption.

Regarding your second question on CMR: The most important driver continues to be Take Rate. As I noted earlier, this quarter's CMR growth was primarily the result of a substantial improvement in Take rate. The Take Rate improvement reflects two main factors: first, the 0.6% software service fee; second, greater penetration of our AI-powered Quanzhantui monetization product.

Both factors will continue to support Take rate improvement in the coming quarters. Additionally, quick commerce is driving strong momentum in user and purchase frequency, which will also positively impact Take Rate and consequently CMR.

Based on these trends, we expect CMR to maintain relatively rapid growth over the next few quarters, in line with the pace of the past two quarters.

Liao Yuan (CITIC):

(Translation)

Good evening, management. Thanks for taking my question.

We have been closely following the evolution of your models and Qwen 3 is now transitioning from an era focused on training models to one centered on training Agents.

My question is: in this Agent-centric era, what additional investments will be required in capabilities and resources? And can management also share any updates on your latest progress in Agent products and applications?

Eddie Wu:

Let me take this question.

Yes, we're definitely observing an evolution in large models, from basic chat box to being agentic. In this new agentic era, we see several clear trends. On the one hand, models must be able to deeply understand much longer context windows to solve complex tasks or execute extended reasoning chains. On the other hand, models need to leverage diverse toolchains to interface with enterprise systems. This is a critical learning requirement.

At the same time, the rapid emergence of AI agents highlights the infrastructure demands behind Agent deployment, creating new opportunities for cloud providers. For example, when executing tasks, Agents often need to run multiple virtual machines (VMs), browser instances, or mobile VM sessions. Alibaba Cloud has introduced AgentBay, a dedicated product offering foundational sandbox environments for Agent operations.

This shift to an agent-driven era represents an excellent opportunity for cloud computing vendors like Alibaba Cloud. Our platform hosts enterprises across diverse industries, provides optimized sandbox environments for Agent execution, and continually evolves models tailored for Agent applications.

Let me add two further points to share our thinking on this topic.

First, on the model side, I'd like to add that as we move into the agent-driven AI era, a model's coding capabilities become extremely important. We believe that in the future, the vast majority of scenarios can be addressed by models with advanced coding capabilities that can connect to a wide range of tools and enterprise systems to solve a wide range of tasks within the enterprise, as well as more sophisticated tasks on the consumer side.

Second, in terms of agent products, I'd like to add that we also have many products that are integrated within the Alibaba Group ecosystem. For example, many e-commerce enterprises require customer service solutions. Beyond providing core computing power and infrastructure, Alibaba Cloud is now working with Taobao, DingTalk, Amap, and Alipay to deliver additional tools that automate business-level tasks. These tools will enable enterprises to develop AI agents that more effectively solve enterprise-internal tasks.

Alex Yao (JP Morgan):

(Translation)

Thank you, management, for taking my question.

I'd like to follow up on food delivery and quick commerce. This isn't Alibaba's first foray into this market. After acquiring Ele.me back in 2018, the company invested significant effort and resources over the next two to three years in an attempt to grow its food delivery market share. But judging from the results from that period, that strategic intent was not realized.

I once asked DeepSeek why Ele.me under Alibaba still could not beat Meituan. DeepSeek's answer was that "a privileged son raised in a wealthy family cannot defeat an entrepreneurial wolf raised in poverty".

Whether DeepSeek's explanation is right or not, I'm sure that you conducted extensive reflection and post-mortem analysis before launching this renewed competitive push. So what's different this time in terms of strategy and execution to maximize ROI and realize our strategic intent?

Thank you.

Jiang Fan:

(Translation)

Well, I guess you could try asking DeepSeek again, but let me take this question.

We've acquired and invested in Ele.me for many years. The first point I would make is that Ele.me has made significant progress over these years. That progress may not have been reflected in market share, because market share is related to our level of investment, our strategic choices, and our investment in traffic and etc.

That said, in recent years Ele.me has made tremendous improvements in its fundamental capabilities. If that were not the case, Taobao Instant Commerce could not possibly have made such rapid advances in such a short period of time; it is also unlikely for us to just starting from scratch, scale to 120 million orders in just four months and fulfill those 120 million orders with excellent user experience.

What made that possible was the capabilities that Ele.me has built up and honed over all these years.

For this business to work, you need to have enough merchants, enough delivery capacity, and enough consumers. Only when all three are in place can our investment be efficient. If any one, or two, of these are weak, investment efficiency will be poor.

Today, with the integration of Ele.me and Taobao, we have Taobao's massive and highly active user base. We also have Ele.me's established network of merchants. And we have the fulfillment and logistics system in place. This is the foundation upon which we are making this investment.

Second, in terms of our investment logic, we are not looking at the quick commerce business on a stand-alone basis. Rather, we are looking at the overall positive benefits it can bring to our e-commerce business across the short term, medium term and long term. This represents a different logic from our earlier approach.

Of course, there is still a lot of work that we need to do to make this business successful.

Gary Yu (Morgan Stanley):

(Original)

Thank you, management, for the opportunity.

I have a question regarding return on invested capital. Given that we are now spending close to RMB 50 billion in probably a couple of months on quick commerce, how should we look at the rate of return on invested capital from these investments?

Because I would imagine if the same amount were to be spent on something on AI, maybe with much bigger Total Addressable Market and much bigger, faster growth in cloud, we may be able to see a much better return on investment.

So how should we think about how we allocate capital internally between retail and AI investment going forward?

Toby Xu:

(Translation)

Allow me to take this, and thanks for the question, Gary.

First, as both Eddie and I have said today, we are faced with two major historic opportunities. The first, as you noted, is AI. The second is in consumption, specifically the historic opportunity created by the paradigm shift from conventional e-commerce to hyperlocal and quick commerce. It is crucial that we seize both of these historic opportunities by making strategic investments.

Certainly, the investments we are making in each of these two areas are enormous. For Alibaba, these are investments of historic scale. And as I said earlier, be it from the perspective of our capabilities or our resources—and by resources, I mean our cash reserves, our cash flow, and our entire balance sheet—we have ample resources to be able to make, as Eddie said, investments “at scale” in both of these areas.

The key for us really is how to balance short-term versus long-term returns. Take our AI investments as an example. I think it’s already very clear to everyone that these investments have been driving continuous acceleration in the growth rate of our cloud business. And as Eddie just said, that isn’t just for this quarter; we expect further increases in the coming quarters.

Of course, we will also look at EBITA margin. But our first priority at this point is making these investments. So for now, we may place relatively less emphasis on profit margins. But that does not mean that we don’t care about margins.

So that’s on the AI side.

Regarding our investments in quick commerce, as Jiang Fan just said, although quick commerce is not yet generating a profit, we can see very clearly that the integration with Taobao and Tmall is already driving increased traffic and frequency. And this increased traffic and frequency is driving advertising growth on the Taobao platform. With the paradigm upgrade from conventional e-commerce to quick commerce, these investments are poised to generate strong returns in the future.

So we have ample resources to make these investments. What's more crucial is that we should avoid focusing merely on short-term returns, and by doing so, forgo those long-term returns. We need to strike the right balance.

Lydia Liu:

(Original)

Thank you, everyone, for joining us today. We appreciate your time, and we look forward to speaking with you again soon.

[END OF TRANSCRIPT]